25

From Imperial Bank to State Bank

THE FIRST RUMBLINGS WITH REGARD to the nationalization of the Imperial Bank were heard in the Constituent Assembly on February 4, 1948, with Mohan Lal Saksena's query on the subject to Shanmukham Chetty, the Finance Minister. Chetty said that while the government accepted the policy of nationalizing the bank, it would first need to examine the various technical questions that would arise if such a step was taken. Thus as early as February 1948, the government had in principle decided that the bank would be nationalized. The demand for state control of an institution which was essentially British was understandable and indeed inevitable. The top management continued to be British and no Indian had as yet broken through the glass ceiling. The bank was described as an 'unapproachable, aristocratic, patrician institution, which thrived on a colonial economy and State Patronage'[1]

DEBATES AND DELIBERATIONS

In the course of the debate on the RBI Bill in September 1948, demands were once again made for the nationalization of the Imperial Bank, and many voices were raised, and with much vehemence, condemning the bank and its working. The issue of nationalization came up once again on February 1, 1949, when John Matthai, the Finance Minister, in reply to a question said that given the economic climate of the country at that time, nationalization was not feasible. But he did give an assurance that the Act would be examined to see how it would be possible to 'enable it to render